including investment objectives, fees and expenses, principal investment strategies, principal risks, and performance—in a structured data format.[727] With respect to principal risk disclosure in particular, the length of this disclosure has been growing over time, and funds sometimes order their risks alphabetically instead of by importance. One academic study found that fund risk disclosure in the summary prospectus had nearly doubled in length between 2010 and 2018.[728] Based on staff analysis, the median number of principal risks listed in fund prospectuses grew from 11 in 2016 to 13 in 2018, and almost half of the principal risk disclosures generally were in alphabetical order.[729]

Funds disclose their fees and expenses in the prospectus fee table. Some fees and expenses are directly attributed to the fund's operations, while others are indirect. For example, some fees and expenses are attributable to the fund only through its investments in other funds). These indirect fund expenses generally appear in a separate AFFE line item in the fee table.[730] Currently, regardless of the size of a fund's investments in the acquired funds, AFFE is a component of the line items that, summed together, produce the fund's bottom-line annual fund operating expenses in its fee table. Differences in the operating expense disclosures of different funds may thus reflect differences in their operations or differences in the operations of their acquired funds.

3. Fund Shareholder Reports

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727 *See* General Instruction C.3(g) of current Form N-1A.

728 *See* Tucker and Xia, *supra* footnote 722, at 27 and 28.

729 These figures are based on staff analysis of a sample of 485BPOS, 485APOS, and 497 filings on EDGAR in XBRL format. Analysis of whether funds tend to list principal risks in alphabetical order is based on normalized inversion counts. We recognize that the length and the ordering of risks varies across funds. The average number of principal risks for funds in this sample is 12.7 in 2016 and 13.9 in 2018.

730 *See supra* Section II.H.1.g.

Funds provide information about their past operations and activities to investors through periodic shareholder reports. Funds send shareholder reports to ongoing shareholders twice-annually. Thus, shareholders receive both a semi-annual and an annual report from the fund. Shareholder reports provide backward-looking information about a fund's performance (in the case of an annual report), expenses, holdings, and other matters (*e.g.*, statements about the fund's liquidity management program, the basis for approval of an investment advisory contract, and the availability of additional information about the fund). These reports also include financial statements, which include audited financials in the annual report. Shareholder reports can be quite long. The average length of a shareholder report exceeds 100 pages. Based on staff analysis of shareholder reports available on fund websites, we estimate that the average annual report length is 134 pages and the average semi-annual report length is 116 pages, or 86% of the average length of a fund's annual report.[731] The length and complexity of these materials can make them difficult for some shareholders to use and understand.

Funds must deliver the shareholder reports to shareholders. Funds also must file the shareholder reports on EDGAR on Form N-CSR. In addition, funds often provide their shareholder reports on their websites. The extent to which funds currently publish shareholder reports on public websites is influenced by Commission rules. All funds that rely on rule 498 to deliver summary prospectuses are required to make their shareholder reports available

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[731] According to one estimate, the annual report was 114 pages long on average in 2016. *See* Comment Letter of Investment Company Institute (Mar. 14, 2016) on File No. S7-08-15, at n.49, *available at* https://www.sec.gov/comments/s7-08-15/s70815-581.pdf.

online at the website address identified at the beginning of the summary prospectus; as a result, we estimate that at least 93% of funds currently provide their shareholder reports on websites.[732] Form N-CSR filings include information other than shareholder reports. This information is filed on EDGAR but is not required to be delivered or otherwise available online.

4. Delivery of Fund Prospectuses and Shareholder Reports

Under Commission rules and guidance, delivery of fund prospectuses and shareholder reports occurs by paper or email, depending on the investor's expressed preference. The Commission has provided guidance permitting electronic delivery of required disclosure materials under certain circumstances.[733] Under this guidance, funds can transmit shareholder reports, prospectuses, or other materials electronically in lieu of paper delivery if they satisfy certain conditions relating to investor notice, access, and evidence of delivery. Funds (or intermediaries) relying on this guidance typically obtain an investor's informed consent to electronic delivery to satisfy the "evidence of delivery" condition. Fund investors that have elected electronic delivery typically receive an email that contains a link to where the materials are available online. The proportion of shareholders who elect to receive fund

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[732] In addition, a fund relying on rule 30e-3 would be required to make its shareholder reports publicly accessible on a website. In the case of rule 30e-3, the shareholder report must be available at the website address specified in the notice the fund would send to shareholders under the rule. Funds that rely on rule 30e-3 would also be required to make their complete portfolio holdings for each quarter available online. To the extent that any funds not currently relying on rule 498 to deliver summary prospectuses start to rely on rule 30e-3 beginning as early as January 1, 2021, the number of funds providing their shareholder reports on websites would be greater than 93%.

[733] *See supra* footnote 21.

disclosure by email varies among funds. By one estimate, the average enrollment rate for electronic delivery is 19.35% for direct-held positions (*i.e.*, shares purchased directly through an account with the fund) and 55% for beneficial positions (*i.e.*, shares purchased through an account with an intermediary).[734]

With respect to shareholder reports, there is also an alternative means of delivery. On June 5, 2018, the Commission adopted rule 30e-3 to provide an optional method for satisfying obligations to transmit shareholder reports by making them accessible online. Starting in 2021, under rule 30e-3, fund shareholders who would otherwise receive shareholder reports in paper may instead receive a short paper notice that a semi-annual or annual report is available online. Rule 30e-3 does not modify the delivery method for shareholders who request to receive reports in paper or elect to receive reports electronically.[735] Funds that intend to rely on rule 30e-3 before 2022 must provide notice to shareholders in their prospectuses and shareholder reports. Under rule 30e-3, what shareholders see when they access the report does not vary in substance or length according to whether they view the report online or request a paper copy of the report.[736] Yet delivery of the report tends to be less costly for funds that choose to rely on rule 30e-3 than funds that do not choose to rely on rule 30e-3 because

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[734] *See* Putnam Comment Letter.

[735] Rule 30e-3 requires the fund to deliver shareholder reports in paper to those shareholders who expressly opt in to paper delivery. For funds that rely on rule 30e-3, other shareholders who have not consented to electronic delivery would receive a link to the shareholder report in a paper notice from the fund.

[736] *See supra* Section III.B.3.

printing and mailing costs are lower for a short paper notice as opposed to a full-length report.[737]

We estimate that 86 percent of funds registered on Form N-1A plan to rely on rule 30e-3 before 2022.[738] We understand that the number could increase or decrease over time, depending on fund and investor experience with the new practice. The Commission previously estimated aggregated costs of $11 million during the transition period for funds to add statements to their shareholder reports and prospectuses notifying shareholders of the fund's intent to rely on rule 30e-3. This includes costs of approximately $7.1 million in the first year and approximately $4.3 million in the second year.[739] In addition, funds may have incurred costs in anticipation of relying on rule 30e-3 that include costs of tracking how many investors request continued delivery by paper mail under rule 30e-3. This is because rule 30e-3 allows shareholders to elect—at any time—to receive all future reports in paper, or request particular reports in paper on an *ad hoc* basis.

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[737] Shareholders of funds that rely on rule 30e-3 may request paper copies of the full report, which may reduce the cost savings associated with rule 30e-3 if many shareholders make these requests. We previously estimated that registered investment companies relying on rule 30e-3 would incur approximately $70.6 million per year to print and mail notices and approximately $5.7 million per year to print and mail shareholder reports upon request. *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at nn.414 and 415 and accompanying text.

[738] Our estimate reflects the percent of open-end funds registered on Form N-1A that included a statement notifying investors of their intent to rely on rule 30e-3 in annual or semi-annual reports filed on Form N-CSR in 2019. The estimate excludes any funds that may plan to rely on rule 30e-3 after the rule's extended transition period ends on January 1, 2022 and, thus, are not required to provide this notice to investors. In a June 2019 survey, ICI found that 97 percent of member funds responding to the survey planned to rely on rule 30e-3. *See* ICI Comment Letter II.

[739] *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at nn.419 and 420 and accompanying text (estimating costs of $7,144,872 associated with amendments to rule 498 and Form N-1A in the first year and costs of $4,286,980 associated with amendments to rule 498 and Form N-1A in the second year).